

(5 percent ÷ 10 percent), thereby chewing up half the value of any dollar invested in it. The owner of the good business earning 20 percent on invested capital wants the business to reinvest, and grow because that growth is profitable. The owner of the bad business earning 5 percent on invested capital wants all the earnings paid out because the “growth” destroys value. In a cruel irony, most good businesses earning high returns on invested capital can’t absorb much incremental capital without reducing those high returns, while most bad businesses earning low returns on invested capital require all earnings be reinvested simply to keep up with inflation. Bad businesses that can only earn sub-par returns destroy capital until they are liquidated. The sooner the business is liquidated, the more value that can be salvaged. The longer the good business can maintain a high return on invested capital, the more valuable the business. What then distinguishes the first-class business from the ordinary business? The differentiator is not simply high returns on capital, which, as Graham pointed out, even an ordinary business will earn at some point in the business cycle, but *sustainable* high returns on capital throughout successive business cycles. The sustainability of high returns depends on the business possessing good economics protected by an enduring competitive advantage, or what Buffett describes as “economic castles protected by unbreachable ‘moats.’”³⁹

First-Class Businesses

A business’s intrinsic value turns on its ability to sustain high returns on invested capital and resist reversion to the mean. For it to be worth more than its invested capital, it must have economics that allow it to generate a return greater than its required return and to protect that super-normal return over the course of the business cycle. For most businesses, high returns on invested capital are unlikely to be sustainable for the simple reason that high returns attract competitors and competition erodes high returns (and, by extension, intrinsic value). Their returns will revert to the average return. This is why the moat is so important to the castle:⁴⁰

A truly great business must have an enduring “moat” that protects excellent returns on invested capital. The dynamics of capitalism guarantee that competitors will repeatedly assault any business “castle” that is earning high returns. Therefore a formidable barrier such as a company’s being the low-cost producer (GEICO, Costco) or possessing a powerful world-wide brand (Coca-Cola, Gillette, American Express) is essential for sustained success. Business history is filled with “Roman Candles,” companies whose moats proved illusory and were soon crossed.